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Equality California Condemns Final CMS Rule Blocking Medicaid and CHIP Funding for Transgender Healthcare

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LOS ANGELES, California, Aug. 11 [Category: Sociological] -- Equality California posted the following news release:

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August 11, 2026

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WASHINGTON -Equality California, the nation's largest statewide LGBTQ+ civil rights organization, released the following statement from Executive Director Tony Hoang after the Centers for Medicare and Medicaid Services finalized a rule ending federal Medicaid funding for both medically necessary care for transgender youth under 18 and federal Children's Health Insurance Program funding for youth under 19. The rule is scheduled to take effect October 13, 2026:

"Today, the Trump administration finalized a cruel and discriminatory rule that blocks federal Medicaid and CHIP payments to providers for medically necessary healthcare for transgender young people, putting their access to care at risk. This is a politically motivated attack that inserts politicians into decisions that should be between parents, patients and their doctors.

The rule allows the same medications and treatments to remain federally funded when prescribed for other medical purposes, but denies them when used to provide the same care to transgender patients. That double standard exposes this policy for what it is: discrimination dressed up as healthcare policy.

Importantly, this rule does not make transition-related care illegal in California. Transgender healthcare remains legal, medically necessary and protected under California law. The rule does not prohibit these services from being covered with state-only Medicaid funds, private insurance, or other sources of funding.

In anticipation of this rule, Equality California and a coalition of LGBTQ+, healthcare and civil rights organizations, secured a historic $26 million investment in the state budget to preserve healthcare for transgender young people in California. This investment will stabilize California's transgender healthcare provider network through provider support, clinic infrastructure, operational assistance for providers absorbing new patients, workforce recruitment and malpractice insurance support.

We are deeply grateful to Governor Gavin Newsom, Speaker Robert Rivas, Senate President pro Tempore Monique Limon, Senate Budget Chair John Laird, Senator Caroline Menjivar, Assembly Budget Chair Jesse Gabriel, Assemblymember Dawn Addis and the California Legislative LGBTQ Caucus for partnering with us to protect access to care for transgender Californians.

We urge the Newsom administration and the Department of Health Care Services to move swiftly to implement a

state-funded care pathway before this rule takes effect to ensure there are no interruptions in care. Together with our state and national partners, we will continue to challenge this discriminatory policy and hold providers accountable under California's nondiscrimination laws.

To transgender young people and their families: your healthcare remains legal and protected in California. You are not alone, and we will never stop fighting for you."

Equality California is the nation's largest statewide LGBTQ civil rights organization. We bring the voices of LGBTQ people and allies to institutions of power in California and across the United States, striving to create a world that is healthy, just, and fully equal for all LGBTQ people. We advance civil rights and social justice by inspiring, advocating and mobilizing through an inclusive movement that works tirelessly on behalf of those we serve. www.eqca.org

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Original text here: https://www.eqca.org/cms-final-rule/

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